



MEMORANDUM OF UNDERSTANDING (MOU)

(Software Development Agreement – India)

This Memorandum of Understanding ("MOU") is made and entered into on this **22nd** day of **April, 2026**

BETWEEN

VSN Groups,
a company / sole proprietorship / partnership registered under the laws of India,
having its registered office at **Krishna Nagar, Maharani Peta, Vizag, 530002**
(hereinafter referred to as the "**Service Provider**")

AND

Dr Adims Center for Rheumatology,
having its office at **Ground Sri Sai Sidhi Towers 43-9-6 Main Road Beside Arch, Railway
New Colony, Visakhapatnam, Andhra Pradesh 530016**
(hereinafter referred to as the "**Client**")

The Service Provider and the Client shall hereinafter collectively be referred to as the "**Parties**" and individually as a "**Party**".

1. PURPOSE

The purpose of this MOU is to outline the terms and conditions under which the Service Provider shall design, develop, and deliver a software solution to the Client, including scope, commercial terms, exclusions, warranty, and responsibilities of both Parties.

2. SCOPE OF WORK

2.1 The Service Provider shall design, develop, test, and deploy the software application as per the mutually agreed requirements and specifications documented and approved by the Client.

2.2 Any functionality defined in the approved Business Requirements Document (BRD) or Annexure A shall be considered within scope and shall not be treated as out-of-scope.



3. PROJECT COMMERCIALS

3.1 Project Cost

The total one-time cost for the development and delivery of the software solution shall be **INR 80,000 (Rupees Eighty thousand only)**, exclusive of applicable Goods and Services Tax (GST 18%).

3.2 The above cost covers **only the initial development and delivery** of the agreed scope of work.

4. PAYMENT TERMS

The payment shall be made as per the following milestones:

- **30 %** advance upon signing of this MOU
- **40 %** upon completion of development milestones
- **30 %** upon final delivery / deployment

All payments shall be made within **7 days** of invoice date.

5. WARRANTY & BUG FIX SUPPORT

5.1 The Service Provider shall provide a **180 (One Eighty) days warranty period** commencing from the date of final delivery.

5.2 During the warranty period, the Service Provider shall fix **critical bugs and issues** directly related to the delivered scope at no additional cost.

5.3 The warranty shall **not** cover:

- Enhancements or new features
- Change in business logic
- Third-party service failures
- Issues arising due to infrastructure, hosting, or misuse of the system

5.4 Warranty includes IoT integration issues, including failures in communication between the application and device.

6. EXCLUSIONS

The following are **explicitly excluded** from the project cost:

- 
- Annual Maintenance Charges (AMC)
 - Domain registration and renewal
 - Server / cloud hosting charges
 - Third-party services (SMS, WhatsApp, payment gateways, maps, APIs, etc.)
 - Ongoing support beyond the warranty period
 - Data entry and operational activities unless agreed separately
-

7. ANNUAL MAINTENANCE & SUPPORT (AMC)

7.1 AMC Fees The Annual Maintenance Contract (AMC) fee is fixed at **18% of the total project cost** per annum. Based on the project value of 80,000, the annual AMC charge shall be **14,400 per year**, exclusive of applicable taxes.

7.2 Scope and Term the AMC shall commence immediately upon the expiration of the initial warranty period. The scope of services and specific Service Level Agreements (SLAs) for this maintenance shall be governed by the terms of this agreement or a supplemental Annexure executed by both parties.

7.3 Payment and Obligation AMC charges are payable annually in advance. If the AMC fee is not paid or an agreement is not renewed, the Service Provider shall have no obligation to provide ongoing maintenance, updates, or support beyond the standard warranty period.

8. INFRASTRUCTURE & HOSTING

8.1 Domain, server, cloud infrastructure, and related operational costs shall be procured and borne by the Client.

8.2 If the Service Provider assists in procurement, all such costs shall be reimbursed by the Client in full.

9. CHANGE MANAGEMENT

Any change, enhancement, or additional requirement requested beyond the agreed scope shall be treated as a **Change Request** and may involve additional cost and revised timelines, subject to mutual written approval.

10. INTELLECTUAL PROPERTY RIGHTS

Upon full and final payment, the Client shall own the source code and intellectual property of the developed software, excluding any pre-existing frameworks, libraries, or tools used by the Service Provider.



This includes custom business logic, device integration code, and database schema developed for the Client.

11. CONFIDENTIALITY

Both Parties agree to maintain strict confidentiality of all proprietary and sensitive information exchanged during the course of this engagement.

12. TERMINATION

Either Party may terminate this MOU by providing **30 days written notice**. Payments for completed work up to the termination date shall be settled by the Client.

13. LIMITATION OF LIABILITY

The Service Provider's total liability under this MOU shall not exceed the total project cost paid by the Client.

14. GOVERNING LAW & JURISDICTION

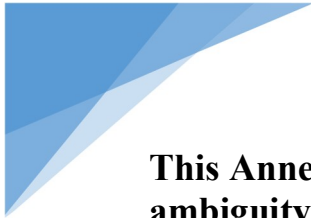
This MOU shall be governed by and construed in accordance with the laws of **India**. Courts of **India** shall have exclusive jurisdiction.

15. ENTIRE AGREEMENT

This MOU constitutes the entire agreement between the Parties and supersedes all prior discussions or communications.

16. ANNEXURES

Annexure A – Detailed Scope & Technical Requirements (Binding)



This Annexure forms an integral part of this MOU and shall override any ambiguity in Section 2 (Scope of Work).

A1. Mandatory Functional Requirements

- Weight-to-Volume Conversion (100 mg $\approx$ 97 ml)
- Manual Feeding Logs (time, quantity, method, notes)
- Real-time Safety Alerts (overheating, malfunction, washing error, low detergent)
- Advanced Dispensing (temperature + volume)

A2. Hardware-Integrated Features

- Triple Sterilization Tracking (3 stages)
- Hygiene/Safety Score after cleaning
- Real-time process and progress display

A3. Non-Functional Requirements

- Data encryption (TLS + at rest)
- Response time $\leq$ 2 seconds
- Retry mechanisms for failures

A4. Communication & Embedded Constraints

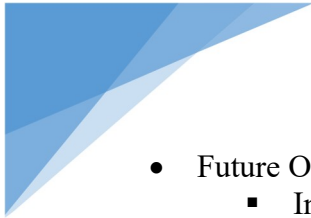
- Wi-Fi only (2.4 GHz)
- Two-way communication (Device $\leftrightarrow$ App)
- Event-driven updates (no polling)
- Backend stores full history
- TLS encryption mandatory

IMPORTANT:

 **The embedded system does not support OTA (Over-the-Air) updates and firmware updates are performed manually.**

A5. OTA Conditional Clause

- OTA updates are not currently supported by the hardware/embedded system
- Implementation depends on hardware capability
- Vendor is not responsible if hardware does not support OTA

- 
- Future OTA support will be:
 - Included if hardware enables it, OR
 - Handled via change request
 - Highlighting the response in the questionnaire raised earlier “OTA updates are not supported Firmware updates are performed manually”

Any hardware limitation shall not impact delivery timelines or acceptance criteria.

A6. Web Application Requirement

- Web application with monitoring, analytics, ordering, and user management

A7. E-Commerce Capability

- Ability to sell bottles, detergents, and accessories
- Includes catalog, ordering, and tracking

A8. Acceptance Criteria

- Final payment (30%) is subject to successful UAT validating all Functional Requirements (FR1–FR19) from the BRD.

17. SIGNATURES

IN WITNESS WHEREOF, the Parties have executed this MOU on the date first written above.

For the VSN Groups (Service Provider)

Name: _____

Designation: _____

Signature: _____

Date: _____

For the Dr Adims Center For Rheumatology (Client)

Name: _____

Designation: _____

Signature: _____

Date: _____